

27 Jul 2026 06:55:55 ET | 14 pages

# Poya (5904.TWO)

**2Q26 Strong Beat on SSSG and Op Leverage; 2H Outlook intact; Raise TP to NT\$745**

## CITI'S TAKE

Poya printed a strong 2Q26 beat with earnings 21%/28% above our/BBG estimates. The quarter's key positives were robust SSSG of 7.7%, driven by traffic/ticket growth of 3%/4% y/y each, and stronger margins on scale benefits and ongoing staff optimization. We expect intact share gain, accelerating store openings and continued opex savings to support healthy growth and margin expansion in 2H26E. We lift our 2026-2028E earnings estimates by 7% and raise our DCF-based TP to NT\$745, implied 19x on NTM EPS. Reiterate Buy given Poya's intact share win trajectory, solid earnings growth, high ROE and attractive div yield.

**2Q26 net profit +46%y/y, beating our/BBG estimates 21%/28% —** Revenue rose 15% y/y, 3%/5% above our/consensus forecasts, driven by SSSG of 7.7% (traffic +2.9%, ticket size +4.3%). GPM expanded 230bps y/y to 44.9%, benefiting from stronger SSSG and the resulting scale benefits. OPM rose 330bps y/y to 15.4% supported by GPM expansion and continued opex discipline. All in, net profits rose 46% y/y to NT\$868mn while EPS came in at NT\$8.15.

**2H26E fundamentals remain solid despite near-term weather noise —** June SSSG moderated to c.1% y/y due to unfavorable weather, causing a sell-off on the stock. While July could remain soft owing to typhoon-related disruptions, we view this as short-term volatility rather than a change in Poya's fundamentals. Beyond the near-term noise, sustained demand and a larger store base should keep 2H26E revenue growth solid, in our view. We expect accelerating store openings together with its intact share gain to support top-line growth while scale benefits and continued opex saving and store efficiency upgrade should underpin further margin expansion.

**Implications —** We raise our earnings estimates 7% for 2026-2028E mainly to reflect higher sales and GPM assumptions in view of stronger SSSG and better scale benefits. We raise our DCF-based TP to NT\$745 (from NT\$630), which implies a 19x NTM P/E on par with its historical avg. We remain constructive on Poya given its resilient SSSG, accelerating strong expansion, structural margin expansion. We also believe Poya should be viewed as a relative safe haven amid recent market volatility, supported by its defensive domestic-consumption exposure, strong earnings visibility, high ROE and attractive dividend yield.

## Earnings Summary

| Year to | Net Profit | Diluted EPS | EPS growth | P/E  | P/B | ROE  | Yield |
|---------|------------|-------------|------------|------|-----|------|-------|
| 31 Dec  | (NT\$M)    | (NT\$)      | (%)        | (x)  | (x) | (%)  | (%)   |
| 2024A   | 2,804      | 26.72       | 9.5        | 25.0 | 9.8 | 41.6 | 3.4   |
| 2025A   | 3,143      | 29.52       | 10.5       | 22.6 | 8.8 | 41.2 | 3.8   |
| 2026E   | 3,982      | 37.40       | 26.7       | 17.9 | 8.2 | 47.5 | 4.8   |
| 2027E   | 4,377      | 41.12       | 9.9        | 16.2 | 7.7 | 48.9 | 5.3   |
| 2028E   | 4,714      | 44.29       | 7.7        | 15.1 | 7.2 | 49.2 | 5.7   |

Source: Powered by dataCentral

## Buy

### Short-Term View: Upside

Price (27 Jul 26 15:00) NT\$668.00

Target price NT\$745.00↑  
from NT\$630.00

Expected share price return 11.5%

Expected dividend yield 4.9%

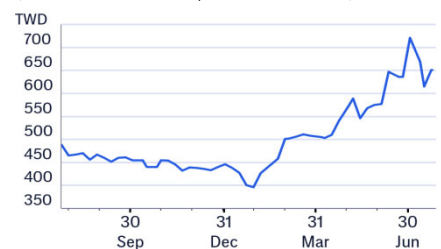
Expected total return 16.4%

Market Cap NT\$71,104M

US\$2,199M

## Price Performance

(RIC: 5904.TWO, BB: 5904 TT)


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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

| 5904.TWO: Fiscal year end 31-Dec |               |               |               |               |               | Price: NT\$668.00; TP: NT\$745.00; Market Cap: NT\$71,104m; Recomm: Buy |               |               |               |               |               |
|----------------------------------|---------------|---------------|---------------|---------------|---------------|-------------------------------------------------------------------------|---------------|---------------|---------------|---------------|---------------|
| Profit & Loss (NT\$m)            | 2024          | 2025          | 2026E         | 2027E         | 2028E         | Valuation ratios                                                        | 2024          | 2025          | 2026E         | 2027E         | 2028E         |
| Sales revenue                    | 23,628        | 25,320        | 28,580        | 31,131        | 33,091        | PE (x)                                                                  | 25.0          | 22.6          | 17.9          | 16.2          | 15.1          |
| Cost of sales                    | -12,962       | -13,873       | -15,367       | -16,700       | -17,689       | PB (x)                                                                  | 9.8           | 8.8           | 8.2           | 7.7           | 7.2           |
| Gross profit                     | 10,666        | 11,447        | 13,213        | 14,431        | 15,402        | EV/EBITDA (x)                                                           | 13.4          | 12.3          | 10.4          | 9.5           | 8.9           |
| Gross Margin (%)                 | 45.1          | 45.2          | 46.2          | 46.4          | 46.5          | FCF yield (%)                                                           | 6.0           | 6.9           | 10.0          | 9.0           | 9.8           |
| <b>EBITDA (Adj)</b>              | <b>6,155</b>  | <b>6,783</b>  | <b>7,925</b>  | <b>8,513</b>  | <b>9,030</b>  | Dividend yield (%)                                                      | 3.4           | 3.8           | 4.8           | 5.3           | 5.7           |
| EBITDA Margin (Adj) (%)          | 26.1          | 26.8          | 27.7          | 27.3          | 27.3          | Payout ratio (%)                                                        | 86            | 86            | 86            | 86            | 86            |
| Depreciation                     | -2,707        | -2,908        | -2,995        | -3,085        | -3,178        | ROE (%)                                                                 | 41.6          | 41.2          | 47.5          | 48.9          | 49.2          |
| Amortisation                     | 0             | 0             | 0             | 0             | 0             | Cashflow (NT\$m)                                                        | 2024          | 2025          | 2026E         | 2027E         | 2028E         |
| <b>EBIT (Adj)</b>                | <b>3,448</b>  | <b>3,875</b>  | <b>4,929</b>  | <b>5,428</b>  | <b>5,852</b>  | EBITDA                                                                  | 6,155         | 6,783         | 7,925         | 8,513         | 9,030         |
| EBIT Margin (Adj) (%)            | 14.6          | 15.3          | 17.2          | 17.4          | 17.7          | Working capital                                                         | -378          | -579          | 960           | -201          | 15            |
| Net interest                     | 0             | 0             | 0             | 0             | 0             | Other                                                                   | -412          | -305          | -808          | -941          | -1,054        |
| Associates                       | 0             | 0             | 0             | 0             | 0             | <b>Operating cashflow</b>                                               | <b>5,365</b>  | <b>5,898</b>  | <b>8,077</b>  | <b>7,371</b>  | <b>7,991</b>  |
| Non-Op/Except/Other Adj          | 58            | 48            | 42            | 38            | 34            | Capex                                                                   | -1,162        | -995          | -995          | -995          | -995          |
| <b>Pre-tax profit</b>            | <b>3,506</b>  | <b>3,923</b>  | <b>4,971</b>  | <b>5,466</b>  | <b>5,886</b>  | Net acq/disposals                                                       | 13            | 11            | 9             | 9             | 9             |
| Tax                              | -702          | -781          | -990          | -1,088        | -1,172        | Other                                                                   | -166          | -164          | -10           | -10           | -10           |
| Extraord./Min.Int./Pref.div.     | 0             | 0             | 0             | 0             | 0             | <b>Investing cashflow</b>                                               | <b>-1,316</b> | <b>-1,147</b> | <b>-996</b>   | <b>-996</b>   | <b>-996</b>   |
| <b>Reported net profit</b>       | <b>2,804</b>  | <b>3,143</b>  | <b>3,982</b>  | <b>4,377</b>  | <b>4,714</b>  | Dividends paid                                                          | -2,173        | -2,414        | -3,437        | -3,779        | -4,069        |
| Net Margin (%)                   | 11.9          | 12.4          | 13.9          | 14.1          | 14.2          | <b>Financing cashflow</b>                                               | <b>-3,209</b> | <b>-3,912</b> | <b>-5,284</b> | <b>-5,680</b> | <b>-6,026</b> |
| Core NPAT                        | 2,804         | 3,143         | 3,982         | 4,377         | 4,714         | <b>Net change in cash</b>                                               | <b>840</b>    | <b>839</b>    | <b>1,797</b>  | <b>695</b>    | <b>969</b>    |
| Per share data                   | 2024          | 2025          | 2026E         | 2027E         | 2028E         | <b>Free cashflow to s/holders</b>                                       | <b>4,203</b>  | <b>4,903</b>  | <b>7,082</b>  | <b>6,376</b>  | <b>6,996</b>  |
| Reported EPS (\$)                | 26.72         | 29.52         | 37.40         | 41.12         | 44.29         |                                                                         |               |               |               |               |               |
| Core EPS (\$)                    | 26.72         | 29.52         | 37.40         | 41.12         | 44.29         |                                                                         |               |               |               |               |               |
| DPS (\$)                         | 23.00         | 25.50         | 32.29         | 35.50         | 38.23         |                                                                         |               |               |               |               |               |
| CFPS (\$)                        | 51.12         | 55.41         | 75.88         | 69.25         | 75.07         |                                                                         |               |               |               |               |               |
| FCFPS (\$)                       | 40.05         | 46.06         | 66.53         | 59.90         | 65.72         |                                                                         |               |               |               |               |               |
| BVPS (\$)                        | 68.17         | 76.17         | 81.29         | 86.92         | 92.98         |                                                                         |               |               |               |               |               |
| Wtd avg ord shares (m)           | 105           | 106           | 106           | 106           | 106           |                                                                         |               |               |               |               |               |
| Wtd avg diluted shares (m)       | 105           | 106           | 106           | 106           | 106           |                                                                         |               |               |               |               |               |
| Growth rates                     | 2024          | 2025          | 2026E         | 2027E         | 2028E         |                                                                         |               |               |               |               |               |
| Sales revenue (%)                | 7.0           | 7.2           | 12.9          | 8.9           | 6.3           |                                                                         |               |               |               |               |               |
| EBIT (Adj) (%)                   | 8.0           | 12.4          | 27.2          | 10.1          | 7.8           |                                                                         |               |               |               |               |               |
| Core NPAT (%)                    | 11.0          | 12.1          | 26.7          | 9.9           | 7.7           |                                                                         |               |               |               |               |               |
| Core EPS (%)                     | 9.5           | 10.5          | 26.7          | 9.9           | 7.7           |                                                                         |               |               |               |               |               |
| Balance Sheet (NT\$m)            | 2024          | 2025          | 2026E         | 2027E         | 2028E         |                                                                         |               |               |               |               |               |
| Cash & cash equiv.               | 2,834         | 3,673         | 5,470         | 6,165         | 7,134         |                                                                         |               |               |               |               |               |
| Accounts receivables             | 1,497         | 1,594         | 1,486         | 1,619         | 1,721         |                                                                         |               |               |               |               |               |
| Inventory                        | 5,979         | 6,809         | 5,608         | 5,862         | 5,963         |                                                                         |               |               |               |               |               |
| Net fixed & other tangibles      | 18,195        | 19,525        | 19,332        | 19,103        | 18,837        |                                                                         |               |               |               |               |               |
| Goodwill & intangibles           | 0             | 0             | 0             | 0             | 0             |                                                                         |               |               |               |               |               |
| Financial & other assets         | 59            | 57            | 57            | 57            | 57            |                                                                         |               |               |               |               |               |
| <b>Total assets</b>              | <b>28,564</b> | <b>31,659</b> | <b>31,953</b> | <b>32,806</b> | <b>33,712</b> |                                                                         |               |               |               |               |               |
| Accounts payable                 | 3,445         | 3,796         | 3,447         | 3,633         | 3,851         |                                                                         |               |               |               |               |               |
| Short-term debt                  | 1,446         | 2,210         | 2,210         | 2,210         | 2,210         |                                                                         |               |               |               |               |               |
| Long-term debt                   | 13,196        | 13,832        | 13,791        | 13,750        | 13,709        |                                                                         |               |               |               |               |               |
| Provisions & other liab          | 3,325         | 3,712         | 3,852         | 3,961         | 4,045         |                                                                         |               |               |               |               |               |
| <b>Total liabilities</b>         | <b>21,411</b> | <b>23,550</b> | <b>23,300</b> | <b>23,554</b> | <b>23,815</b> |                                                                         |               |               |               |               |               |
| Shareholders' equity             | 7,153         | 8,108         | 8,653         | 9,252         | 9,897         |                                                                         |               |               |               |               |               |
| Minority interests               | 0             | 0             | 0             | 0             | 0             |                                                                         |               |               |               |               |               |
| <b>Total equity</b>              | <b>7,153</b>  | <b>8,108</b>  | <b>8,653</b>  | <b>9,252</b>  | <b>9,897</b>  |                                                                         |               |               |               |               |               |
| <b>Net debt (Adj)</b>            | <b>11,807</b> | <b>12,368</b> | <b>10,531</b> | <b>9,795</b>  | <b>8,785</b>  |                                                                         |               |               |               |               |               |
| Net debt to equity (Adj) (%)     | 165.1         | 152.5         | 121.7         | 105.9         | 88.8          |                                                                         |               |               |               |               |               |

For definitions of the items in this table, please click [here](#).

Figure 1. Poya: 2Q26 Results Comp

| NT\$ mn              | 2Q26  | 1Q26  | Q/Q  | 2Q25  | Y/Y | 2Q26 Citi | Diff | 2Q26 BBG | Diff |
|----------------------|-------|-------|------|-------|-----|-----------|------|----------|------|
| Revenue              | 6,932 | 7,095 | -2%  | 6,044 | 15% | 6,720     | 3%   | 6,594    | 5%   |
| Gross profit         | 3,115 | 3,202 | -3%  | 2,577 | 21% | 2,893     | 8%   | 2,822    | 10%  |
| Operating profit     | 1,068 | 1,231 | -13% | 731   | 46% | 884       | 21%  | 840      | 27%  |
| Net profit           | 868   | 990   | -12% | 594   | 46% | 718       | 21%  | 676      | 28%  |
| Basic EPS (NT\$)     | 8.15  | 9.30  | -12% | 5.58  | 46% | 6.74      | 21%  | 6.90     | 18%  |
| <b>Ratio</b>         |       |       |      |       |     |           |      |          |      |
| Gross margin (%)     | 44.9  | 45.1  | -0.2 | 42.6  | 2.3 | 43.1      | 1.9  | 42.8     | 2.1  |
| Operating margin (%) | 15.4  | 17.3  | -1.9 | 12.1  | 3.3 | 13.2      | 2.2  | 12.7     | 2.7  |
| Net margin (%)       | 12.5  | 14.0  | -1.4 | 9.8   | 2.7 | 10.7      | 1.8  | 10.2     | 2.3  |

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Source: Company Reports, Citi Research

Figure 2. Poya: Earnings Estimates Revisions

| NT\$ mn                 | 2026E  |        |      | 2027E  |        |      | 2028E  |        |      |
|-------------------------|--------|--------|------|--------|--------|------|--------|--------|------|
|                         | New    | Old    | Chg  | New    | Old    | Chg  | New    | Old    | Chg  |
| Revenue                 | 28,580 | 28,056 | 2%   | 31,131 | 30,468 | 2%   | 33,091 | 32,386 | 2%   |
| Gross profit            | 13,213 | 12,798 | 3%   | 14,431 | 13,952 | 3%   | 15,402 | 14,891 | 3%   |
| OPEX                    | 8,284  | 8,210  | 1%   | 9,003  | 8,896  | 1%   | 9,550  | 9,436  | 1%   |
| Operating profit        | 4,929  | 4,588  | 7%   | 5,428  | 5,056  | 7%   | 5,852  | 5,456  | 7%   |
| Pre-tax profit          | 4,971  | 4,626  | 7%   | 5,466  | 5,090  | 7%   | 5,886  | 5,485  | 7%   |
| Net profit              | 3,982  | 3,705  | 7%   | 4,377  | 4,077  | 7%   | 4,714  | 4,394  | 7%   |
| Basic EPS (NT\$)        | 37.40  | 34.81  | 7%   | 41.12  | 38.30  | 7%   | 44.29  | 41.28  | 7%   |
| <b>Ratio</b>            |        |        |      |        |        |      |        |        |      |
|                         | New    | Old    | dffi | NeU    | Old    | dffi | NeU    | Old    | dffi |
| Gross margin (%)        | 46.2   | 45.6   | 0.6  | 46.4   | 45.8   | 0.6  | 46.5   | 46.0   | 0.6  |
| OPEX to Sales ratio (%) | 29.0   | 29.3   | -0.3 | 28.9   | 29.2   | -0.3 | 28.9   | 29.1   | -0.3 |
| Operating margin (%)    | 17.2   | 16.4   | 0.9  | 17.4   | 16.6   | 0.8  | 17.7   | 16.8   | 0.8  |
| Net margin (%)          | 13.9   | 13.2   | 0.7  | 14.1   | 13.4   | 0.7  | 14.2   | 13.6   | 0.7  |

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Source: Citi Research

## Adding Upside 30-Day Short-Term View on Poya (5904.TWO)

**Direction:** Upside  
**Duration:** Within 30 Days  
**Category:** Earnings and Macro fundamentals

We expect stronger GPM expansion and stringent opex saving to support upward earnings revisions for FY2026 by the market, a key catalyst to drive further re-rating on the shares.

## Bull/Bear: Poya (5904.TWO)

NT\$ 800.00  
▲ 20% Upside

NT\$ 745.00  
▲ 12% Upside

NT\$ 520.00  
▼ 22% Downside



Spread 42pp  
Current Price and expected returns (upside/downside) as of 27 Jul 2026

### BULL Assumptions

- Sales growth of 15-17% in 2026E
- OPM of 17.5-18.5% in 2026E
- Implied NTM P/E 22x

### BASE Assumptions

- Sales growth of 10-15% in 2026E
- OPM of 17-17.5% in 2026E
- Implied NTM P/E 19x

### BEAR Assumptions

- Sales growth of 5-8% in 2026E
- OPM of 16% in 2026E
- Implied NTM P/E 15x

## Poya

### Company description

Poya is the largest retailer of fast-moving consumer goods in Taiwan, focusing on low-priced cosmetics, accessories, clothing and food products for females aged 15–49. Poya had 420 stores in Taiwan at the end of 2024 and believes that the market can accommodate up to 700–800 stores before reaching saturation.

### Investment strategy

We rate Poya shares a Buy. We believe Poya could continue to gain shares in Taiwan's beauty market with its aggressive store addition plans and enhanced brand image. We view shop-in-shop stores the potential solution to turn around Poya's Home business and drive further margin expansion in the long run as it helps redirect traffic to Home and raise brand awareness. We are also encouraged by the solid results of Poya Beauty and we expect new format stores to accelerate Poya's share gains and allow more flexibility in store openings in areas where Poya stores have not penetrated, driving further sales and earnings upside in the long run.

### Valuation

We derive our 12-month target price of NT\$745 for Poya from a DCF valuation method. Our assumptions include a terminal growth rate of 5% and WACC of 10.1% (beta of 1.05; risk-free rate of 4%; risk premium of 7.0%; cost of equity of 11.3%). Our target price implies a P/E of 19x on our NTM EPS.

### Risks

Key downside risks that could mean the shares fail to achieve our target price include: intense price competition among online retailers, slower store traffic, margin dilution due to aggressive store expansion, and a soft macro environment.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

## Appendix A-1

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## IMPORTANT DISCLOSURES

### Poya (5904.TWO) Ratings and Target Price History Fundamental Research

Analyst: Angela Hsu



| Date                 | Rating | Target Price | Closing Price |
|----------------------|--------|--------------|---------------|
| 1 31-Jul-23 09:44:27 | 1      | *617.59      | 501.91        |
| 2 28-Feb-24 08:21:35 | 1      | *602.88      | 485.25        |

| Date                 | Rating | Target Price | Closing Price |
|----------------------|--------|--------------|---------------|
| 3 08-May-24 07:52:30 | 1      | *588.18      | 492.11        |
| 4 29-Jul-24 10:35:16 | 1      | *584.16      | 506.93        |

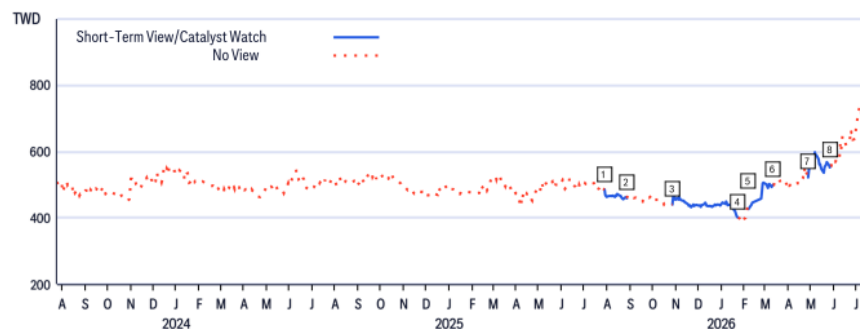
| Date                 | Rating | Target Price | Closing Price |
|----------------------|--------|--------------|---------------|
| 5 30-Jul-25 08:12:33 | 1      | *565.00      | 465.00        |
| 6 27-Apr-26 12:23:00 | 1      | *630.00      | 522.00        |

\*Indicates Change

Rating/target price changes above reflect Eastern Time

### Poya (5904.TWO) Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



| Date                 | Action     | Expected Direction | Duration | Closing Price |
|----------------------|------------|--------------------|----------|---------------|
| 1 28-Jul-25 04:46:55 | Add STV    | Upside             | 30 Days  | 485.50        |
| 2 27-Aug-25 22:13:12 | Remove STV | Upside             | 30 Days  | 459.00        |
| 3 27-Oct-25 03:28:53 | Add STV    | Upside             | 90 Days  | 440.00        |

| Date                 | Action     | Expected Direction | Duration | Closing Price |
|----------------------|------------|--------------------|----------|---------------|
| 4 25-Jan-26 20:18:18 | Remove STV | Upside             | 90 Days  | 400.50        |
| 5 08-Feb-26 22:16:30 | Add CW     | Upside             | 30 Days  | 426.50        |
| 6 11-Mar-26 22:16:35 | Remove CW  | Upside             | 30 Days  | 500.00        |

| Date                 | Action     | Expected Direction | Duration | Closing Price |
|----------------------|------------|--------------------|----------|---------------|
| 7 27-Apr-26 08:23:00 | Add STV    | Upside             | 30 Days  | 522.00        |
| 8 27-May-26 22:22:55 | Remove STV | Upside             | 30 Days  | 557.00        |

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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